Vendor Contract Breach Notice

Internal reference code: CNRY-3d1ead60.

Background

This notice addresses the contract breach by **Nordic Packaging Solutions (NPS)**, our vendor for packaging materials, under Contract No. **AL-NPS-2023-045**, dated **15 March 2023**. The contract stipulates that NPS must deliver **Alderline Logistics** with **2,500 units of standard pallets** weekly, with a tolerance of ±5%, by **every Monday morning** at our **main warehouse in Antwerp, Belgium**. The agreed price is **EUR 35 per pallet**, totaling **EUR 87,500** weekly.

Breach Details

Over the past three weeks (**Week 22, 23, and 24**), NPS has failed to meet these requirements. The delivery shortfalls are as follows:

- **Week 22 (May 28th)**: Delivered **2,250 units** (a shortfall of **250 units**).
- **Week 23 (June 4th)**: Delivered **2,000 units** (a shortfall of **500 units**).
- **Week 24 (June 11th)**: Delivered **1,800 units** (a shortfall of **700 units**).

These consistent failures have disrupted our operations, leading to delays in loading **seven freight trucks** scheduled for **June 15th**, costing **Alderline Logistics** an estimated **EUR 18,200** in additional operational expenses and lost revenue.

Legal Consequences and Remedies

Pursuant to Clause **8.2** of our contract, NPS is in material breach. We hereby serve this notice as a formal demand for immediate rectification. NPS must deliver the outstanding **1,450 units** by **June 18th, 2024**, along with a **penalty payment of EUR 0.50 per unit short**, amounting to **EUR 725**. Failure to comply will result in the following actions:

1. **Termination of Contract**: We reserve the right to terminate the contract effective **June 25th, 2024**, should NPS fail to meet the above requirements.
2. **Liquidated Damages**: Additional liquidated damages of **EUR 50 per pallet per day** will accrue for each day of delay beyond **June 18th**.
3. **Legal Action**: We will pursue all legal remedies available to recover losses, including the **EUR 18,200** in operational costs and any further damages incurred.

We expect your prompt attention to this matter to avoid further penalties and contract termination.